MOCK PSPM 1 (85 marks)
Answer all questions.

QUESTION 1 [20 marks]

a. Cash Book (bank column) Salwa Sdn. Bhd. showed a different balance from the Bank Statement balance as at August 2019.

CASH BOOK (bank column)

Date	Particulars	RM	Date	Particulars	Cheque No.	RM
2019 Aug.17	Husin	237	2019 Aug 1	Balance b/f		3,092
22	Ali	240	7	Al-Bukhari	221102	120
25	Hamzah	120	10	Abbas	221103	320
31	Abu Bakar	180	15	Ridza	221104	210
31	Balance c/f	3,435	30	Marwan	221105	470
		4,212				4,212

BANK STATEMENT

Date	Particulars	Debit (RM)	Credit (RM)	Balance (RM)
2019				
Aug.1	Balance b/f			3,092 dr
7	221102	120		3,212 dr
15	Cheque		237	2,975 dr
19	221104	210		3,185 dr
21	Cheque		240	2,945 dr
30	Jessica : Credit transfer		157	2,788 dr
31	Media Corp : Standing order	45		2,833 dr
31	Bank Charges	32		2,865 dr

Required:

Prepare a Bank Reconciliation Statement for Salwa Sdn. Bhd. as at 31st August 2019.

[10½ marks]

b. J&J Ent. involve in selling and distributing imported furniture. Presented below is information related to Accounts Receivable taken from the Trial Balance on July 31, 2019:

	RM
Accounts Receivable	200,000
Allowance for Doubtful Debts	3,000
Sales (30% were a net credit sales)	350,000

Presented below are the transactions of J&J Ent. on 31st July 31 2019:

1. Steve, a debtor, went missing after owing J&J Ent. RM500.
2. A debtor named Janet whose debt was already written-off few years ago; appear and pay her debt RM750.

3. Allowance for doubtful debts is estimated to be 5% on net credit sales.

Required:

(i) Prepare journal entries to record additional information 1, 2 and 3 using the allowance method. (Explanation is not required).

[5 marks]

(ii) Prepare Accounts Receivable and Allowance for Doubtful Debts account based on the above journal entries.

[4½ marks]

QUESTION 2 [20 marks]

a. Here are the data of the purchase and sale of goods Medan Jaya Sdn Bhd (MSB) for the 6 months ended June 30, 2021.

Date	Purchases (unit)	Cost per unit (RM)	Sales (unit)	Sales per unit (RM)
Jan. 10	840	2.00		
Mar. 3			700	3.30
Apr. 8	600	2.80		
June 5			500	3.50

MSB inventory on January 1, 2021 is 240 units at RM2.10 per unit.

Required:

(i) MSB adopts perpetual inventory system. Determine the value of inventories at June 30, 2021 by using the First-in-First-out.

[4 marks]

(ii) Based on the information (i) above, determine the gross profit for the period ended June 30, 2021.

[4 marks]

(iii) If the MSB apply periodic inventory system using the weighted average method, determine the value of inventories at June 30, 2021.

[4 marks]

b. Robita Books Co. sells story books to retail stores and the following transactions occurred.

June 5	Purchased merchandise from Syarikat Jenny for RM19,000, terms 2/10, n/30.
17	Sold books on account to Daddy Bookstore for RM2,500. The cost of the books sold was RM1,900.

Required:

Journalize the above transactions using a perpetual inventory system. (Explanation is not required). **[8 marks]**

QUESTION 3 [20 marks]

a. On 1st January 2018, Padu Bhd. purchased a machine for RM210,000 by signing a 3 year Notes Payable. The company paid cash for transportation and installation RM5,000 and duty to the Custom Department RM1,000. The company expects the machine to remain useful for ten years and to have a salvage value of RM10,000. The company's accounting closing date is on 31st December every year.

Required:

(i) Compute depreciation expense, accumulated depreciation and book value of the machine for the first three years using a straight-line method. (Use appropriate calculation table).

[6 marks]

(ii) Prepare journal entries to record the purchase of the machine and the 1st year adjustment entry. (Explanation is not required).

[2½ marks]

b. Following are the transactions of Ronald Deco related to its machine and office furniture. The accounting period ends on December 31 of every year.

Ronald Deco trade-in an old machine with a new machine on 1st January 2019. The cost of the new machine is RM82,000. The cost of the old machine is RM60,000. The annual depreciation expense is RM5,000 and the accumulated depreciation until the date of disposal amounted to RM25,000. Trade-in value for the old machine is RM20,000. Ronald Deco paid with a cheque on the excess from the trade-in event.

On 1st July 2019, Ronald Deco sold office furniture for RM16,000 cash. The original cost of the office furniture was RM30,000. As of 1st January 2019, it had accumulated depreciation of RM12,000. Depreciation expense for the first six months of 2017 was RM3,000.

Required:

Provide sufficient journal entries for both transactions on 1st January 2019 and 1st July 2019. Show all calculations involved. (Explanation is not required).

[11½ marks]

QUESTION 4 [25 marks]

a. In 2021, the transactions involving liabilities for Citra Klasik Sdn Bhd were as follows:

Date	**Transaction**
Mac 1	Issues a 10-year Bonds Payable with interest of 6% amounting RM500,000. Interest will be paid every 6 months.
August 31	Make a bank transfer to all bondholders as 1st interest payment.

Oct. 1	Makes RM35,000 bank loan by issuing a Notes Payable with interest rate of 10% and a maturity period of 5 months.
Nov 6	Makes a warranty estimation by 5% over 8,500 units of sold merchandise. The warranty is for one year in the form of a free repair. Repairing costs is estimated at RM55 per unit.

Required:

(i) Prepare the necessary journal entries to record the transactions above (Explanation is not required).

[8 marks]

(ii) Based on the above transactions, provide the adjusting entries on December 31, 2021 (Explanation is not required).

[4½ marks]

b. The comparative Statement of Financial Position of Nathan Company appears below:

NATHAN COMPANY
Comparative Statement of Financial Position
December 31,
('000)

Assets	2021 (RM)	2020 (RM)
Current assets	420	333
Non-current assets	780	567
Total assets	1,200	900
Liabilities and shareholders' equity		
Total liabilities	168	144
Ordinary shares	432	306
Preference shares	300	162
Retained earnings	300	288
Total liabilities and shareholders' equity	1,200	900

Additional information:

1. Net profit for the year ended 31 December 2021 was RM118,000.
2. Dividends declared and paid were RM80,000 to ordinary shareholders and RM26,000 to preference shareholders

Required:

Prepare Statement of Changes in Equity for the year ended 31 December 2021. **[7 marks]**

c. Miss Nina and Miss Ninie established their partnership business entity 3 years ago, named N&N Partner's. According to the partnership agreement, they agree to share profit equally.

On 1 January 2021, the opening capital balance for Miss Nina and Miss Ninie is RM80,000 and RM90,000 respectively. During year 2021, Miss Nina contributed RM35,000 and Miss Ninie contributed RM45,000 as additional capital in the business and at the end of the year, each they make a cash drawings RM20,000 each. Their business partnership reported a net profit of RM160,000 in year 2021

Required:
Show a Statement of Changes in Equity for N&N Partner's for the year ended 31 December 2021.

[5½ marks]